

203K Loan

Aka every house flipper's dream. This is a subset of the FHA loan that allows you to roll rehab costs into the loan product. For example, if a property's renovation is estimated to cost \$10,000, then that amount will be added on top of the home loan and paid off monthly like the rest of the mortgage.

There are, of course, a few caveats. First and foremost, the borrower must use certified 203K contractors, which means no DIY projects. This loan is for owner-occupants or nonprofits only, so no investors allowed (unless you're house hacking, since that's just using an investment property as a primary residence).

Plus, there is paperwork—*so much* paperwork—involved with this loan, so it's not the best for the buyer in a hurry. It requires approval for renovation payments, which only come after inspections, which must also be scheduled in advance. However, the obvious advantage here is that the home buyer can finance a large number of repairs and force appreciation that would not otherwise be available.

VA Loans

This stellar loan program is exclusively available to active-duty military members who meet the current service-time requirements, honorably discharged veterans, and spouses of deceased veterans who died in the line of duty or from a service-related disability. It's backed by the Veterans Administration so, as with an FHA loan, the risk to lenders is very low.

VA loans come with a down payment as low as zero percent—yes, you read that right—which means the buyer is financing 100 percent of the purchase price. They'll pay a version of private mortgage insurance called a funding fee. Also as with an FHA loan, the property must be a primary residence in habitable condition to qualify for this type of funding.

USDA Loans

This is a fun loan product that isn't keeping up with the times—in a good way. The USDA loan is for properties in predesignated rural areas, and the map that designates what is "rural" is updated infrequently. An online map provided by the USDA outlines these locations, and they're not all